

Amazon.com, Inc.

AMZN NASDAQ

Buy	\$261.06 ▼ 0.39%	12M Price Target \$310.00	52-Week Range \$196.00 – \$287.20	Market Cap \$2.82T
-----	------------------	------------------------------	--------------------------------------	-----------------------

AMZN: Quiet Consolidation While AI and Policy Winds Shift

WHAT HAPPENED

- AMZN is basically flat (-0.39%) but there's a real story underneath: reports that Amazon, Microsoft, and Google are in revenue-sharing talks with China's Moonshot AI to host their Kimi K3 model. That's a big deal — it means AWS is trying to become the neutral cloud layer for Chinese AI models the same way it did for Anthropic. Could be lucrative, but also politically radioactive given the current US-China tech tension.
- Insider selling cluster is worth flagging — CEO Andy Jassy sold ~\$2.7M and SVP Zapolsky sold \$2.4M last week. Not panic-level (Jassy's was a scheduled exercise-and-sell), but when the CEO trims into strength near 52-week highs, that's usually a signal that near-term upside is capped.

WHY IT MATTERS

Here's what I'm reading between the lines: the options market is screaming bullish (put/call at 0.54, unusual call buying at \$242-250 strikes with 30x+ open interest) while insiders are quietly trimming. That's a classic setup where retail/institutional flow is chasing a breakout but the people closest to the numbers know the stock has already priced in a lot. The Moonshot AI deal is the wild card — if it goes through, AWS just added a growth vector nobody's modeling yet, but it also puts a target on Amazon's back if Washington decides Chinese AI models on US cloud infrastructure is a national security issue. Meanwhile, Amazon shutting down a 21-year-old service (likely a legacy retail/web service) tells you Jassy is aggressively reallocating capital toward AI — good for margins long-term, but it's the kind of restructuring that shows up in one-time charges.

POLICY & POLITICAL WATCH

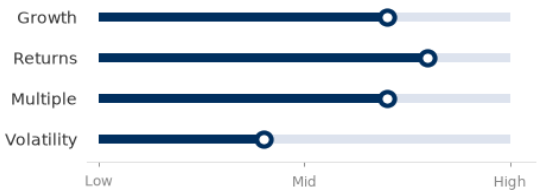
The biggest policy overhang right now is the ongoing FTC antitrust case against Amazon and the Trump administration's posture on Big Tech — mixed signals here, since Trump has been transactional with tech CEOs but the FTC case is still grinding forward. Watch the China angle closely: if the Moonshot AI hosting deal materializes, expect Congressional pushback (Senate China hawks will hold hearings within weeks) and possibly new export-control-style rules on which foreign AI models US clouds can host. Also monitor the de minimis tariff exemption — Trump's crackdown on the \$800 duty-free import threshold hurts Temu/Shein directly, which is actually a tailwind for Amazon's retail marketplace as competitors lose their pricing edge.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$261.06
12M Price Target	\$310.00
Upside / (Downside)	+18.7%
Market Cap	\$2.82T
FY2026E Revenue	\$460M
FY2027E Revenue	\$510M
FY2026E EPS	\$6.85
FY2027E EPS	\$8.20
Fwd P/E	38.1x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$278.00	\$268.00	\$252.00
6 Months	\$305.00	\$285.00	\$240.00
1 Year	\$340.00	\$310.00	\$230.00
2 Years	\$400.00	\$355.00	\$220.00
5 Years	\$550.00	\$450.00	\$250.00
10 Years	\$900.00	\$650.00	\$300.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+3.28% 5D) is rotating up, likely on defensive positioning ahead of Nvidia earnings. Communications Services (+2.44% 5D) is holding strong — that's where the AI narrative is playing out most cleanly.

COOLING OFF: Technology (-2.09% 5D) is taking a breather — this is pre-Nvidia jitters. The whole sector is holding its breath waiting for NVDA to either confirm or crack the AI capex thesis.

ROTATION WATCH: Money is rotating OUT of pure-play semis and INTO diversified tech (Amazon, Google, Microsoft) because investors want AI exposure without single-point-of-failure risk on Nvidia. That's a tailwind for AMZN specifically.

RELATED PLAY: If AMZN's AWS story works, the picks-and-shovels play is data center REITs (DLR, EQIX) and power infrastructure (VST, CEG) — Amazon's AI buildout requires gigawatts of new power, and that's a decade-long trade.

WHO'S WINNING IN THIS SPACE?

- GOOGL (Alphabet): Winning on Gemini adoption and TPU chip narrative — direct competitor for the same Moonshot-style deals AMZN is chasing.
- META (Meta Platforms): Ads business is on fire and Llama models are gaining enterprise traction — showing what a pure AI+ads story can do to a multiple.

AMZN CONTEXT: Amazon is lagging both YTD on percentage terms but it's the most diversified of the megacaps. That "lagging" status is actually why smart money is rotating in — it's the cheapest way to own AI, retail, and ads in one ticker. If Nvidia earnings hit next week, AMZN should ride the wave; if NVDA disappoints, AMZN holds up better than pure semis.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

Position Size: 4-6% of portfolio (core holding)

Entry Points: \$255-260 on macro pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: AWS growth decelerating below 15% or a major antitrust breakup order

Hedging: Buy protective puts around earnings, or pair with a short in a pricier AI hyperscaler